

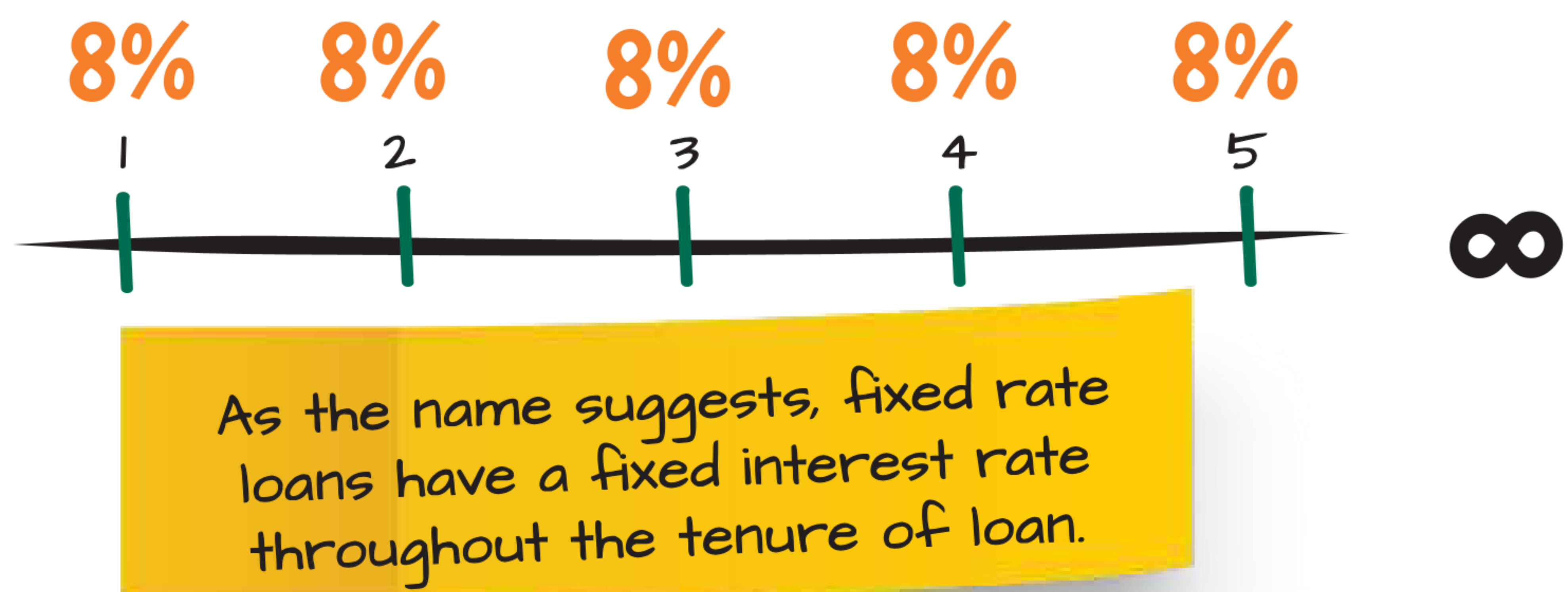
c. Things you should know about Home Loans

i. Interest Rates

Home loans can be structured in 3 ways:

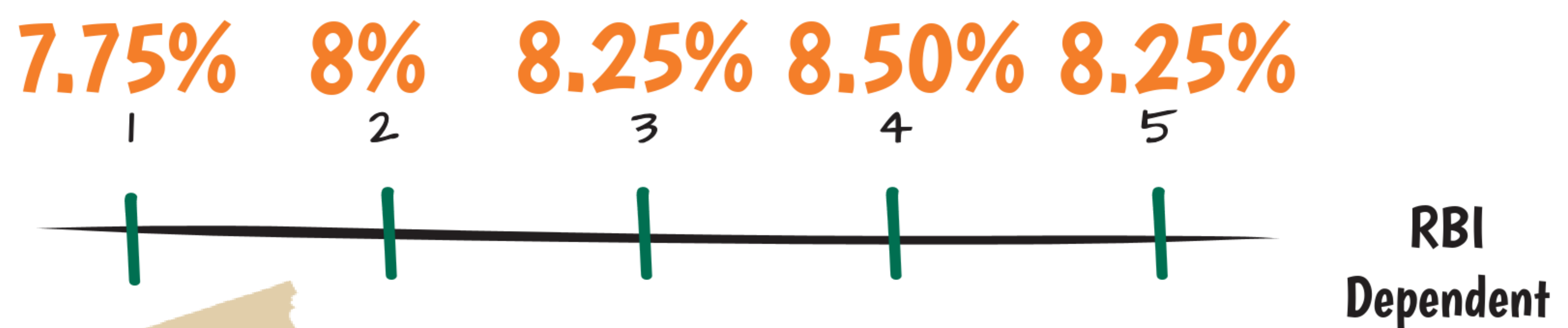
Fixed rate, Floating rate and Hybrid Structure Home Loan.

a. Fixed Rate Loans



But however, home loans are for very long periods and you won't find fixed rate loans at most financial institutions.

b. Floating Rate Loans



Most banks offer a floating rate home loan. The rates of these loans depend on the interest rate set by our central bank (RBI). To simplify it let me explain it in a simple manner.

Our central bank (RBI) changes interest rates from time to time, to manage the economy. There are a lot of factors based on which RBI decides to change the interest rates like inflation, foreign investments, private investments, stimulate economic growth, etc.